

Useful Terms & Expressions

A cheat sheet of concepts, idioms, paradoxes and business phrases - explained in plain English with quick examples.

How to use it: scan the bold term, read the one-line meaning, then use the example to remember the phrase in context.

Cause, Change & Chain Reactions

TERM	SIMPLE DEFINITION	EXAMPLE
Butterfly Effect	A tiny change at the beginning can lead to a very large result later.	<i>A small scheduling change eventually delayed the whole launch.</i>
Domino Effect	One event causes a sequence of other events, like falling dominoes.	<i>One supplier failed, then production and deliveries were delayed.</i>
Ripple Effect	An action spreads outward and affects people or systems beyond the original event.	<i>The new policy had a ripple effect across several departments.</i>
Snowball Effect	Something starts small but grows faster as it continues.	<i>A little technical debt became a major maintenance problem.</i>
Chain Reaction	One event directly triggers another, creating a sequence.	<i>The outage caused a chain reaction of retries and overloaded services.</i>
Tipping Point	The moment when a small additional change causes a major shift.	<i>After enough users joined, the product reached a tipping point.</i>
Critical Mass	The minimum amount needed for something to sustain or accelerate itself.	<i>The community became useful once it reached critical mass.</i>
Feedback Loop	An output influences the next input, reinforcing or correcting a behavior.	<i>More engagement improves recommendations, which creates more engagement.</i>
Vicious Cycle	A repeating process that keeps making a bad situation worse.	<i>Poor sleep caused low productivity, which caused stress, which hurt sleep.</i>
Virtuous Cycle	A repeating process where each improvement creates another improvement.	<i>Better service led to loyal customers, which funded even better service.</i>

Problems, Risks & Difficult Situations

TERM	SIMPLE DEFINITION	EXAMPLE
Can of Worms	A problem that looks simple but reveals many complicated issues once opened.	<i>Changing that old API could open a can of worms.</i>
Pandora's Box	An action that releases many unexpected problems that are difficult to undo.	<i>Allowing unrestricted plugins could open Pandora's box.</i>
Rabbit Hole	A topic or activity that becomes unexpectedly deep, complex, or time-consuming.	<i>I started debugging one warning and went down a rabbit hole.</i>
Slippery Slope	A first step that may lead to a series of increasingly serious consequences.	<i>Making one exception can become a slippery slope.</i>

TERM	SIMPLE DEFINITION	EXAMPLE
Perfect Storm	Several bad conditions happen together and create an unusually serious problem.	<i>Traffic, bad weather, and a server outage created a perfect storm.</i>
House of Cards	A fragile system that can collapse if one part fails.	<i>The plan was a house of cards built on unrealistic assumptions.</i>
Single Point of Failure	One component whose failure can bring down the entire system.	<i>That database is a single point of failure.</i>
Bottleneck	The slowest or most limited part of a process, which limits overall performance.	<i>Approval became the bottleneck in the hiring process.</i>
Hidden Cost	A cost that is not obvious at first but appears later.	<i>Manual work created hidden costs in support and operations.</i>
Technical Debt	Short-term engineering shortcuts that create extra work or risk later.	<i>Skipping tests saved time now but increased technical debt.</i>

Decision Making & Thinking

TERM	SIMPLE DEFINITION	EXAMPLE
Trade-off	A situation where gaining one benefit requires giving up another.	<i>Lower latency may require higher infrastructure cost.</i>
Opportunity Cost	The value of the best alternative you give up when making a choice.	<i>The opportunity cost of this project is the feature we cannot build.</i>
Cost-Benefit Analysis	Comparing expected advantages with expected costs before deciding.	<i>We did a cost-benefit analysis before migrating systems.</i>
Rule of Thumb	A practical general guideline that is useful but not always exact.	<i>A common rule of thumb is to keep solutions simple first.</i>
First Principles Thinking	Breaking a problem down to basic truths and reasoning upward from them.	<i>Instead of copying competitors, we designed from first principles.</i>
Second-Order Thinking	Considering not only the immediate result, but also what happens after that.	<i>Cutting prices may increase sales, but second-order effects may hurt margins.</i>
Mental Model	A simple way of understanding how something works.	<i>Supply and demand is a useful mental model for pricing.</i>
Bias	A systematic tendency that can distort judgment.	<i>Hiring only people similar to us can reflect bias.</i>
Confirmation Bias	The tendency to notice evidence that supports what you already believe.	<i>He searched only for reviews that confirmed his opinion.</i>
Sunk Cost Fallacy	Continuing something mainly because you already invested time or money in it.	<i>We should not keep the project only because we spent six months on it.</i>

Paradoxes & Counterintuitive Ideas

TERM	SIMPLE DEFINITION	EXAMPLE
Catch-22	A situation where you cannot solve a problem because the solution requires something the problem prevents.	<i>You need experience to get the job, but need the job to get experience.</i>

TERM	SIMPLE DEFINITION	EXAMPLE
Murphy's Law	The humorous idea that if something can go wrong, eventually it will.	<i>We added backups because Murphy's Law tends to show up at the worst time.</i>
Peter Principle	People may be promoted until they reach a role they are no longer good at.	<i>A great engineer is not automatically a great manager.</i>
Pareto Principle (80/20 Rule)	Roughly 80% of results often come from 20% of causes.	<i>A small number of customers may generate most revenue.</i>
Parkinson's Law	Work tends to expand to fill the time available for it.	<i>A task given two weeks may take two weeks even if it could take two days.</i>
Law of Diminishing Returns	After a point, adding more effort or resources produces smaller improvements.	<i>Adding more developers eventually gave smaller speed gains.</i>
Streisand Effect	Trying to hide information unintentionally draws more attention to it.	<i>The attempt to remove the post made it go viral.</i>
Observer Effect	Measuring or observing something can change the thing being observed.	<i>Employees behaved differently because they knew the process was being monitored.</i>
Survivorship Bias	Focusing on successful examples while ignoring failures that disappeared.	<i>Studying only successful startups gives a distorted picture.</i>
Goodhart's Law	When a measure becomes a target, people may optimize the number instead of the real goal.	<i>If ticket count becomes the target, teams may close easy tickets first.</i>

Uncertainty, Probability & Unexpected Events

TERM	SIMPLE DEFINITION	EXAMPLE
Black Swan	A rare, hard-to-predict event with very large consequences.	<i>A sudden global disruption can act like a black swan event.</i>
Known Unknown	Something you know you do not yet know.	<i>We know traffic will grow, but not by how much - that is a known unknown.</i>
Unknown Unknown	A risk or fact you are not even aware you are missing.	<i>Unexpected dependencies are classic unknown unknowns.</i>
Edge Case	An unusual situation at the extreme of expected behavior.	<i>The system failed only for an edge case involving empty input.</i>
Worst-Case Scenario	The most harmful plausible outcome.	<i>We designed backups around the worst-case scenario.</i>
Margin of Safety	Extra capacity or protection added to reduce risk from uncertainty.	<i>We provisioned extra capacity as a margin of safety.</i>
Risk Appetite	How much risk a person or organization is willing to accept.	<i>A startup may have a higher risk appetite than a bank.</i>
Probability vs Possibility	Possible means it can happen; probable means it is reasonably likely to happen.	<i>A failure may be possible but still very unlikely.</i>
Tail Risk	A rare event at the extreme end of possible outcomes that can cause large losses.	<i>The plan looked safe but had serious tail risk.</i>
Base Rate	The normal frequency of an event before considering special details.	<i>Before predicting success, check the base rate for similar projects.</i>

Work, Projects & Execution

TERM	SIMPLE DEFINITION	EXAMPLE
Low-Hanging Fruit	The easiest tasks or opportunities that give quick results.	<i>We fixed the low-hanging fruit before redesigning the system.</i>
Quick Win	A small change that can deliver visible value quickly.	<i>Automating the report was a quick win.</i>
Moving the Goalposts	Changing the requirements for success after progress has already been made.	<i>The project kept slipping because stakeholders moved the goalposts.</i>
Scope Creep	A project gradually grows beyond its original agreed scope.	<i>Adding more features every week caused scope creep.</i>
Boil the Ocean	Trying to solve an unnecessarily huge problem all at once.	<i>Do not boil the ocean; solve the highest-value use case first.</i>
Bite the Bullet	Accept and do something difficult or unpleasant that cannot be avoided.	<i>We finally bit the bullet and replaced the legacy service.</i>
Kick the Can Down the Road	Delay dealing with a problem instead of solving it now.	<i>Another temporary patch only kicks the can down the road.</i>
Back to Square One	Return to the beginning because the previous approach failed.	<i>The design was rejected, so we were back to square one.</i>
In the Weeds	Too deeply focused on small details rather than the bigger picture.	<i>We are getting in the weeds; let us return to the main decision.</i>
On the Same Page	Having the same understanding or agreement.	<i>Let us confirm requirements so everyone is on the same page.</i>

Strategy & Competition

TERM	SIMPLE DEFINITION	EXAMPLE
Moat	A durable advantage that makes it hard for competitors to copy or replace you.	<i>Network effects can create a strong business moat.</i>
First-Mover Advantage	A benefit gained by entering a market before competitors.	<i>The company gained brand recognition through first-mover advantage.</i>
Network Effect	A product becomes more valuable as more people use it.	<i>Messaging apps benefit from strong network effects.</i>
Flywheel Effect	Repeated small improvements reinforce each other and create momentum.	<i>Better content brought users, users brought data, and data improved content.</i>
Zero-Sum Game	One side can gain only if another side loses an equivalent amount.	<i>A fixed prize pool is a zero-sum game.</i>
Win-Win	An outcome where all sides benefit.	<i>The partnership reduced costs for both companies - a win-win.</i>
Blue Ocean	A market space with little direct competition because the offering is different.	<i>The product created a blue-ocean category rather than fighting on price.</i>
Red Ocean	A crowded market where many competitors fight for the same customers.	<i>Commodity cloud storage is a red-ocean market.</i>

TERM	SIMPLE DEFINITION	EXAMPLE
Strategic Fit	How well choices, capabilities, and goals reinforce one another.	<i>The acquisition had strong strategic fit with the existing platform.</i>
Competitive Advantage	A capability that lets a company outperform competitors.	<i>Faster delivery became the company's competitive advantage.</i>

Communication & Social Dynamics

TERM	SIMPLE DEFINITION	EXAMPLE
Elephant in the Room	An obvious important problem that everyone avoids discussing.	<i>The falling revenue was the elephant in the room.</i>
Devil's Advocate	Someone who argues the opposite side to test an idea.	<i>I will play devil's advocate and challenge this assumption.</i>
Read Between the Lines	Understand an implied meaning that is not stated directly.	<i>Reading between the lines, the client seems worried about cost.</i>
Lost in Translation	Meaning becomes changed or misunderstood during communication.	<i>Some details were lost in translation between the business and engineering teams.</i>
Chinese Whispers / Telephone Effect	A message changes as it passes through many people.	<i>Requirements became distorted through a telephone effect.</i>
Echo Chamber	A group where people mostly hear views similar to their own.	<i>The team became an echo chamber and missed outside criticism.</i>
Groupthink	A group avoids disagreement and makes poor decisions in order to maintain harmony.	<i>Nobody challenged the plan because of groupthink.</i>
Social Proof	People are more likely to trust or copy something when they see others doing it.	<i>High ratings create social proof for new buyers.</i>
Halo Effect	A positive impression in one area influences judgment in unrelated areas.	<i>Because she speaks confidently, people may assume all her ideas are correct.</i>
Framing Effect	The way information is presented changes how people interpret or choose.	<i>Calling it 90% successful feels different from saying 10% failed.</i>

Business & Economics

TERM	SIMPLE DEFINITION	EXAMPLE
Economies of Scale	Average cost falls as production or usage grows.	<i>A larger platform can spread infrastructure costs across more users.</i>
Economies of Scope	It is cheaper to produce related products together than separately.	<i>One delivery network can support several product lines.</i>
Supply and Demand	Prices and availability are influenced by how much is offered and how much people want.	<i>High demand with limited supply usually pushes prices upward.</i>
Price Elasticity	How strongly demand changes when price changes.	<i>Luxury purchases often have different price elasticity than necessities.</i>
Break-Even Point	The point where revenue equals total cost.	<i>The product breaks even at 10,000 subscriptions.</i>

TERM	SIMPLE DEFINITION	EXAMPLE
Burn Rate	How quickly a company is spending its available cash.	<i>Reducing burn rate can extend runway.</i>
Runway	How long a company can continue operating before running out of cash.	<i>At the current burn rate, the startup has 12 months of runway.</i>
Unit Economics	Revenue and cost associated with one customer, order, or unit.	<i>Strong unit economics mean each customer is profitable over time.</i>
Market Saturation	A market has little room for growth because most potential buyers already have the product.	<i>Smartphone growth slowed as the market approached saturation.</i>
Cannibalization	A new product reduces sales of your own existing product.	<i>The cheaper plan may cannibalize the premium plan.</i>

Systems, Reliability & Engineering Thinking

TERM	SIMPLE DEFINITION	EXAMPLE
Fail-Safe	A design that moves to a safe state when something goes wrong.	<i>The machine shuts down automatically as a fail-safe.</i>
Fault Tolerance	The ability to keep working even when part of a system fails.	<i>Replication improves fault tolerance.</i>
Resilience	The ability to recover and continue after disruption.	<i>A resilient system recovers quickly after outages.</i>
Redundancy	Extra components added so another can take over if one fails.	<i>Two power supplies provide redundancy.</i>
Graceful Degradation	A system provides reduced functionality instead of failing completely.	<i>Search stayed available even when recommendations were disabled.</i>
Blast Radius	The amount of the system or organization affected when something fails.	<i>We limited the blast radius by isolating tenants.</i>
Cascade Failure	One failure creates more failures until a much larger system breaks.	<i>Retry storms can cause cascading failure.</i>
Backpressure	A mechanism that slows producers when consumers cannot keep up.	<i>The stream processor used backpressure instead of exhausting memory.</i>
Idempotent	An operation can be repeated without changing the result after the first successful application.	<i>Setting status to CLOSED is idempotent; incrementing a counter is not.</i>
Eventual Consistency	Different copies of data may temporarily disagree but converge later.	<i>The update appeared on another region a few seconds later.</i>

Learning, Growth & Behavior

TERM	SIMPLE DEFINITION	EXAMPLE
Learning Curve	The relationship between experience and how quickly or well someone learns a task.	<i>The tool has a steep learning curve at first.</i>
Plateau	A period where progress slows or appears to stop.	<i>After rapid early improvement, her progress reached a plateau.</i>

TERM	SIMPLE DEFINITION	EXAMPLE
Compound Effect	Small repeated actions create large results over a long period.	<i>Reading every day has a strong compound effect.</i>
Habit Loop	A repeating cycle of cue, behavior, and reward.	<i>Changing the reward helped break the habit loop.</i>
Comfort Zone	A familiar situation that feels safe but may limit growth.	<i>Public speaking pushed him outside his comfort zone.</i>
Growth Mindset	The belief that abilities can improve through effort, learning, and practice.	<i>A growth mindset treats mistakes as information for improvement.</i>
Imposter Syndrome	Feeling undeserving of success despite evidence of competence.	<i>Even experienced professionals can experience imposter syndrome.</i>
Analysis Paralysis	Overthinking options so much that no decision is made.	<i>We had enough data, but analysis paralysis delayed the launch.</i>
Decision Fatigue	Decision quality falls after making many decisions for a long time.	<i>By evening, decision fatigue made small choices harder.</i>
Delayed Gratification	Choosing a larger future benefit instead of a smaller immediate reward.	<i>Saving money requires delayed gratification.</i>

Everyday Idioms Worth Knowing

TERM	SIMPLE DEFINITION	EXAMPLE
Tip of the Iceberg	The visible part of a much larger hidden problem or situation.	<i>These complaints may be only the tip of the iceberg.</i>
Silver Lining	A positive aspect of an otherwise bad situation.	<i>The delay had one silver lining: we found a serious bug before launch.</i>
Double-Edged Sword	Something that has both important benefits and important disadvantages.	<i>Automation can be a double-edged sword if people stop checking outputs.</i>
Blessing in Disguise	Something that seems bad at first but later turns out to be helpful.	<i>Losing the contract was a blessing in disguise because it forced us to diversify.</i>
Wake-Up Call	An event that makes someone realize a problem needs attention.	<i>The outage was a wake-up call for reliability work.</i>
Reality Check	Information or experience that corrects an unrealistic belief.	<i>The customer feedback gave us a reality check.</i>
Grey Area	A situation where rules or answers are not clearly right or wrong.	<i>AI copyright remains a grey area in some situations.</i>
Fine Line	A small difference between two similar but importantly different things.	<i>There is a fine line between confidence and arrogance.</i>
Point of No Return	A stage after which reversing a decision becomes impossible or extremely difficult.	<i>Once the migration started, we quickly reached the point of no return.</i>
No-Brainer	A decision that is extremely easy because one option is clearly better.	<i>Turning on automatic backups was a no-brainer.</i>

Memory shortcut: when you hear a new expression, ask: "Is this describing a cause, a risk, a decision, a behavior, or a system?" Categorizing it makes the phrase easier to remember.